

The U.S. Department of Agriculture estimates that in 2010, one child cost a husband and wife couple \$163,440 (if your annual income was under \$57,600) and over \$377,000 (if your annual income was higher than \$99,000) from birth to the age of eighteen, not including any provision for private school or college costs.

Find out how much it will cost to add your new family member to your group medical insurance policy as a dependent. If you and your spouse have separate insurance policies, figure out if it makes sense for one of you to transfer to the other's policy. Dependent coverage may be cheaper if you're all on one policy, especially if one spouse has a cafeteria (section 125) plan and pays premiums with pretax dollars. If you or your spouse has an option of contributing to a flexible-spending account (FSA) at work, you could come out ahead by doing so.

Income and Expense Issues

Think about how you'll manage on one income during maternity leave and possibly reduced income during the pregnancy. Are you covered by short-term disability insurance? If so, you'll receive between 60 percent and 70 percent of your regular income for approximately six weeks following delivery, or sooner if you're deemed medically unable to work during your pregnancy.

Arrange child care well in advance. It takes time to interview potential providers and check them out with other parents who have used them. Child care is a huge expense, so figure the costs into your budget ahead of time and come up with ways to make cuts elsewhere if necessary. Child-care expenses are eligible for a tax credit as long as you provide the caretaker's employer ID or social security number to the IRS.

Start a baby fund to cover unexpected costs, and contribute to it monthly and shop for bargains on baby equipment and supplies, but don't skimp on items that affect safety, such as high-quality car seats.